



Qualification Programme Examination Panelist's Report

Module 10 – Business and Company Law (December 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Written Questions

General Comments

The paper was three hours in duration and consisted of six questions. The marks allocation among the nine major topics of this paper is as follows:

1. Company Law	30%
2. Law of Employment	10%
3. Law of Tort and Negligence	10%
4. Law of Agency	10%
5. Law of Contract	10%
6. Law of Consumer Protection	10%
7. Law for Public Companies	10%
8. Law of Bribery and Corruption	5%
9. The Hong Kong Legal System and Regulatory Authorities	5%

This paper was set on the entire topics prescribed for the syllabus of Module 10. The syllabus covers many important business and company law topics. The wide range of examinable topics could be one of the reasons for poor performance in the examination. Good candidates showed adequate preparation for all topics in the syllabus.

Candidates performed well on straightforward questions. This can be seen in Question 1(a) on the laws of employment, Question 2(b) on the laws of anti-corruption, Question 5(a) on the disclosure of interests under the Securities and Futures Ordinance ("SFO") as well as Question 5(b) on the regulatory objectives of the Securities and Futures Commission ("SFC").

Candidates were not well prepared for non-straightforward questions where they were required to identify the legal issues based on the case scenario and question requirements. This can be seen from Question 3(b) on the implied terms in the contract of sale and Question 4 on the topic of derivative actions.



Candidates were weak in understanding the question requirements and applying them to the case scenario specifically. Some candidates failed to discuss how implied terms may provide protection to the consumer in Question 3(b) while others were unable to identify the topic of derivative actions as required in Questions 4(a) and (b), but wrongly discussed the unfair prejudice remedy in the answer. Similarly, a few candidates failed to identify the issue of negligence and discussed negligent misstatement and/or vicarious liability in Question 1(b).

Specific Comments

Question 1 - 20 Marks

Part (a) of this question was straightforward and required candidates to determine if the two individuals are an employee or an independent contractor, and what are the protections available to them respectively. Candidates' performance was good in general. They were able to identify and discuss the three common law tests.

Part (b) of this question required candidates to discuss the issue of negligence. Yet, some candidates wrongly discussed negligent misstatement and/or vicarious liability, which were irrelevant to the question.

Question 2 – 15 Marks

Part (a) of this question required candidates to discuss the authority under the agency of estoppel. Candidates' performance was fair. Candidates were only able to discuss the types of agents but were unable to explain the apparent authority and the agency by estoppel.

Part (b) of this question require candidates to discuss the laws of anti-corruption. Candidates' performance was good. Many candidates were able to give relevant answers to this question but it was found that some of them simply copied their answers from the past examination papers and did not give relevant analysis in the answers.

Question 3 – 20 Marks

Part (a) of this question required candidates to discuss the issue of misrepresentation. Candidates' performance was satisfactory. Yet, some candidates were unable to identify the issue of question and discussed negligent misstatement based on the past examination papers.

Part (b) of this question required candidates to discuss the implied terms in the contract of sale. Candidates' performance was poor. Many candidates were unable to identify the topic of the implied terms of the Sale of Goods Ordinance as this topic first appeared in the examination. It appears that candidates did not have sufficient understanding on this topic.



Question 4 – 20 Marks

Part (a) of this question required candidates to discuss common law derivative action. Candidates' performance was poor. Many candidates were unable to identify and discuss the issue of common law derivative action, and wrongly answered the unfair prejudice remedy and the just and equitable winding-up based on the past examination papers.

Part (b) of this question required candidates to discuss statutory derivative action. Candidates' performance was less than satisfactory. Many candidates were unable to address the requirement and discuss the issue of statutory derivative action under section 732 of the Companies Ordinance (Cap.622). Unlike the unfair prejudice remedy, the remedy of statutory derivative action is available to the company and not to the shareholders personally.

Question 5 – 15 Marks

Part (a) of this question required candidates to discuss the disclosure of interests under the SFO. Candidates' performance was good. Candidates were able to identify and discuss the disclosure obligations in their answers.

Part (b) of this question required candidates to discuss the regulatory objectives of the SFC. Candidates performed well and were able to discuss the objectives of the SFC in their answers.

Question 6 – 10 Marks

This question required candidates to discuss the partners' duties to the partnership. Candidates' performance was average. Many candidates were able to identify and discuss the partners' duties in their answers.

(II) Conclusion and Recommendation

Some candidates neither read the question requirements carefully nor had sufficient understanding of the major business and company law topics in the syllabus. As can be seen in Questions 2(b) and 4, some candidates simply copied their answers from the past examination papers and did not give relevant answers in the analysis. It appears that they relied too much on the past examination papers.

One of the major purposes of the examination is to test the candidates' ability to apply their legal knowledge to address the question requirements. Candidates are expected to discuss the legal issues based on the case scenario and question requirements in a reasonable and logical manner. This reveals that candidates lacked sufficient preparation and understanding of all topics in the syllabus. Candidates are advised to prepare themselves well as there are always new topics tested in the examination.